CHAPTER 2

The History of Behavioral Finance Micro

If you go into what I call a "bubble boom," every bubble bursts.
—Margaret Thatcher, British Prime Minister

This chapter traces the development of behavioral finance micro (BFMI). There are far too many authors, papers, and disciplines that touch on various aspects of behavioral finance (behavioral science, investor psychology, cognitive psychology, behavioral economics, experimental economics, and cognitive science) to examine every formative influence in one chapter. Instead, the emphasis will be on major milestones of the past 250 years. The focus is, in particular, on recent developments that have shaped applications of behavioral finance in private-client situations.

HISTORICAL PERSPECTIVE ON THE LINK BETWEEN PSYCHOLOGY AND ECONOMICS

Historical Roots

Investor irrationality has existed as long as the markets themselves have. Perhaps the best-known historical example of irrational investor behavior dates back to the *early modern* or *mercantilist* period during the sixteenth century. A man named Conrad Guestner transported tulip bulbs from Constantinople, introducing them to Holland. Beautiful and difficult to obtain, tulips were a consumer sensation and an instant status symbol for the Dutch elite. Although most early buyers sought the flowers simply because they adored them, speculators soon joined the fray to make a profit. Trading